

throughout financial history. Some of these go back to the nineteenth century. Titles I remember include: *The Art of Investing* (1888); *Playing the Game*, by Zebediah Flint (1918); *Reminiscences of a Stock Operator*, by Edwin Lefevre (1923); *Test, Then Invest* author unknown, (1927); and *The Common Sense of Money and Investments* (1929), written by Merryle Rukeyser, father of the present-day celebrity.

There were several books addressed to women, most notably *What Every Woman Should Know about Investing Her Money* (1968), penned by Herta Hess Levy, "an utterly feminine but highly-professional stockbroker," according to the flap copy. There was also *How to Lay a Nest Egg* (1950), written for women by a man named Edgar Scott. "Is the stock market like a supermarket?" he asked rhetorically.

From these books and others, I learned several important things about my average-investor ancestry. The first stock market opened in Amsterdam in 1602, but there is no evidence that the masses invested in it. They were busy buying up the tulip bulbs. Tulip bulbs were the earliest-known financial opportunity for the average person, which resulted in the unfortunate tulip-bulb bust. By 1688, regular Englishmen were investing in oil from sunflower seeds and in the importing of jackasses from Spain. The South Sea Company of the 1700s had many average shareholders who together bid up that stock to a paper value five times greater than all the cash in Europe. A subsequent collapse inspired the passage of the Bubble Act of 1720, which restricted the formation of new corporations.

In 1721, the English House of Commons passed an ordinance to prohibit the selling of stocks altogether, and in 1733 there was a second attempt to "void all wagers as to the price of stocks and securities." This must have failed, because the London Stock Exchange was established in 1762. Soon the word *wager* disappeared from the vocabulary, replaced by the more reassuring term *investment* still in use today. Meanwhile, banking for the average person was invented by the Scots.

These are the European antecedents. The first American investment of any popularity was public debt, which should come as no surprise to us. Our pioneer investors bought Revolutionary War bonds in the 1700s. From there they moved into national-